MARKETBEAT

PHOENIX

INDUSTRIAL Q4 2025

CUSHMAN & WAKEFIELD

MARKET FUNDAMENTALS

	YOY Chg	Outlook
12.4% Vacancy Rate	▲	▼
14.7M YTD Net Absorption, SF	▼	▲
$1.09 Asking Rent, PSF *(Overall, Net Asking Rent)*	▼	▲

ECONOMIC INDICATORS

	YOY Chg	Outlook
2.5M Phoenix Employment	▲	▲
3.6% Phoenix Unemployment Rate	▲	▲
4.6% United States Unemployment Rate	▲	▲

Source:BLS

Metro- and city-level employment data as of Q3 2025; U.S. averages Oct. and Nov. data due to delays from government shutdown

ECONOMY: GROWTH CONTINUES TO OUTPACE MOST METROS

In 2025, the Phoenix Metro reported an employment level of 2.5 million, after adding 31,200 jobs over the last year. While the unemployment rate bumped up from 3.3% to 3.6% during that period, it remained well-below the national average of 4.6% and ranked fourth-lowest among major U.S. metros with total employment of at least 2 million jobs. Strong wage growth continued to draw new entrants into the labor force, with the median household income increasing by 4.0% year-over-year (YOY) to $91,800. Population growth also doubled the national average, however, the 1.0% YOY increase marked a deceleration from previous quarters. While GDP growth also slowed slightly from last year, Phoenix's 2.2% YOY gain through 2025 remained well-ahead of the national rate, underscoring the Metro's continued economic strength.

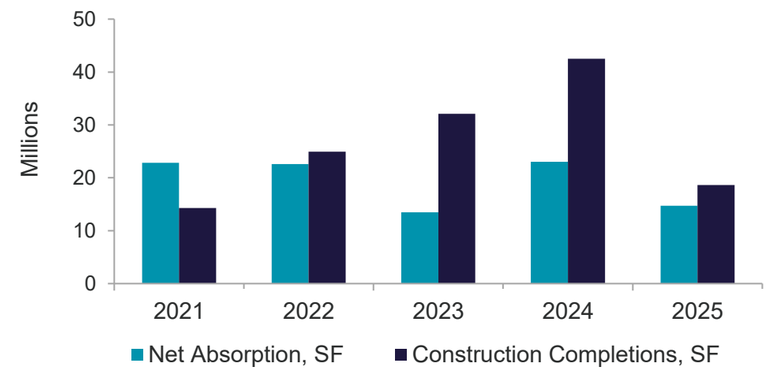
SUPPLY: GROWING DEMAND & FALLING SUPPLY TIGHTEN VACANCY

In Q4 2025, Phoenix's industrial vacancy rate fell by its largest margin in over four years, posting a 90 basis point (bps) decrease quarter-over-quarter (QOQ) to 12.4%. Q4's surge in net absorption, along with a continued slowdown in new completions, combined to deliver a significant improvement to the overall market. During the quarter, net absorption exceeded completions by 3.2 million square feet (msf), which marked the largest difference since at least 2000, and the first time that the Metro has achieved this feat since Q2 2022. The impact of this trend was most evident in the Southwest Valley major market, where net absorption more-than-doubled completions, pushing vacancy down by 180 bps QOQ to 14.1%. The Southeast Valley also registered a notable vacancy improvement, with a near-six-year low completions slate paving the way for an 80-bps reduction to 15.6%.

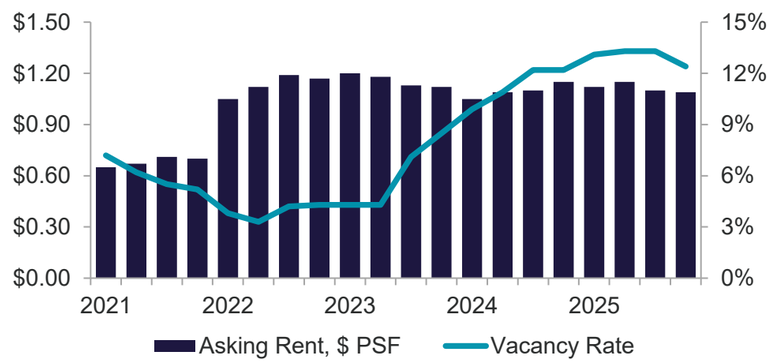
PRICING: ASKING RENTS CONTINUE TO EASE MODESTLY

Direct and overall average asking rents ticked down QOQ to $1.14 per square foot (psf) and $1.09 psf triple net (NNN), as the market continued to adjust to the past two years of elevated completions and vacancy. While the Airport Area (1.4%) and Northeast Valley (1.0%) major markets still posted increases during the quarter, the Southwest Valley's 3.1% dip to $0.86 psf NNN offset these gains. Market-wide, asking rents for warehouse/distribution spaces continued to normalize from a 70% jump during 2022, noting a 2.7% decrease QOQ to $1.00 psf NNN. Conversely, office service and high technology product sustained growth, with average rates rising by 5.2% to $1.36 psf and 2.5% to $1.23 psf NNN, respectively.

SPACE DEMAND / DELIVERIES



OVERALL VACANCY & ASKING RENT



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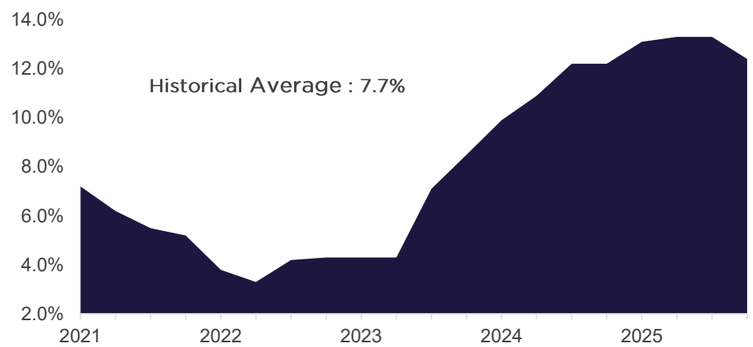
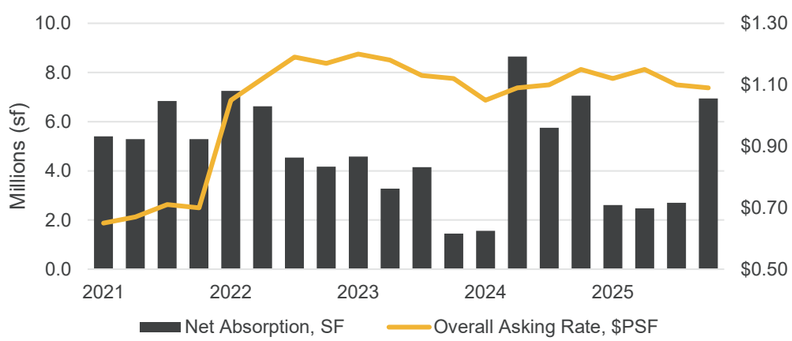
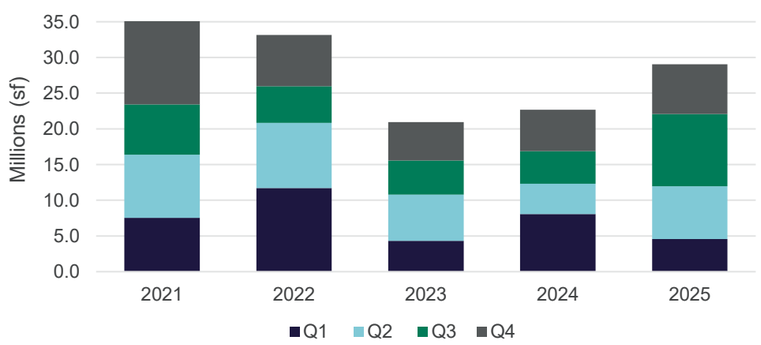
OVERALL VACANCY



ABSORPTION VS. RENT



LEASING ACTIVITY



ACTIVITY: LEASING ACTIVITY REACHES HIGHEST LEVEL SINCE 2022

Despite previous concerns that tariff-related uncertainty would weigh on demand in 2025, the Phoenix industrial market closed the year with more than 29.0 msf of leasing activity, representing the third-highest annual total since at least 2000. While Q4's 6.9 msf of new leases marked a slowdown from the prior two quarters, it still exceeded the 2014-2019 quarterly average of 2.0 msf by 254%, underscoring the overall Metro's historically elevated demand. Driving this performance was the Southwest Valley major market, which posted over 11.1 msf in the final half of 2025 — the area's second-strongest six-month total on record. Leasing activity here was boosted by a collection of large-scale commitments, including 15 of the Metro's 20 largest deals signed in H2 2025. Despite the Southwest Valley's particular strength, leasing activity improved YOY in all five of Phoenix's major industrial markets, led by the Southeast Valley's 56% increase to 7.2 msf during 2025. However, among property types, only warehouse/distribution spaces observed notable growth in new leasing volume, posting a 35% increase to 25.2 msf last year.

ABSORPTION: NET ABSORPTION SURGES QUARTER-OVER-QUARTER

During Q4 2025, overall net absorption in Phoenix increased by 157% QOQ to 6.9 msf, pushing the year-long total up to 14.7 msf. The Southwest Valley major market fueled the Metro's momentum, with absorption improving by 221% to a six-quarter high of 5.8 msf. Buildings in the area hosted three move-ins all exceeding 1.0 msf in Q4 alone — including Walmart (1.3 msf), Dollar Tree (1.3 msf) and Amazon (1.1 msf) — surpassing the combined total for Phoenix's four other major markets over the past four years. The Southeast Valley, meanwhile, extended its streak of positive absorption to 22 consecutive quarters, posting 1.3 msf in Q4. Together, the two major markets accounted for 97% of the overall Metro's positive absorption in 2025, suggesting that tenant demand is becoming increasingly concentrated in these areas. This trend is likely to continue, with 2.9 msf of signed leases, or 83% of the market-wide total, slated to commence in the Southwest (1.9 msf) and Southeast Valley (944,996 sf) major markets during the first quarter of 2026.

CONSTRUCTION: SPECULATIVE CONSTRUCTION ACTIVITY DECELERATES

After three straight years of record supply additions from 2022 to 2024, the Metro's completions volume fell by 56% YOY to 18.6 msf in 2025. The slowdown should persist, with just 23.3 msf forecasted for delivery between 2026 and 2027, which would mark the lowest two-year total since 2018-2019. While a rebound in construction activity remains possible, more expensive capital costs, higher input expenses and historically elevated vacancy are likely to restrain future development. These headwinds are already impacting the composition of new supply, leading fewer speculative projects to pencil than in prior years. About 60% of the space currently underway is slated as build-to-suit (BTS), versus a 19% share from 2022 to 2024.

OUTLOOK

- Although the total impact of tariffs was likely not yet experienced in 2025, it's apparent that rising costs for construction inputs will keep speculative construction activity on the decline. In the meantime, older, existing inventory may be better-positioned to attract tenants as they begin to find fewer newly-delivered options on the market. This overall trend is expected to gradually temper elevated vacancy rates in submarkets that have recently recorded robust supply growth.
- Large leases signed within the quarter, accompanied by the anticipated delivery of nearly 5.8 msf of BTS projects, are expected to bolster absorption figures during the first quarter of 2026.
- The advanced manufacturing and high technology sector continues to experience increasing rates of absorption and development. Large-scale BTS construction activity, especially in the semiconductor and data center sectors, will likely play a major role in shaping not only the future of Phoenix's commercial real estate realm, but also its overall macroeconomic environment.

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MARKET STATISTICS

SUBMARKET	INVENTORY (SF)	OVERALL VACANT (SF)	OVERALL VACANCY RATE	CURRENT QTR OVERALL NET ABSORPTION (SF)	YTD OVERALL NET ABSORPTION (SF)	YTD LEASING ACTIVITY (SF)	UNDER CNSTR (SF)	YTD CNSTR COMPLETIONS (SF)	DIRECT NNN ASKING RATE*	OVERALL NNN ASKING RATE*
Airport	72,339,468	5,619,737	7.8%	-80,210	-511,628	2,635,253	1,397,277	1,282,192	$1.17	$1.17
Northeast Valley	14,274,242	896,935	6.3%	9,359	-218,324	548,279	1,213,705	242,740	$1.44	$1.40
Northwest Valley	58,992,253	4,789,703	8.1%	-78,955	400,778	2,370,088	611,645	1,444,357	$1.13	$1.14
Southeast Valley	109,657,934	17,104,809	15.6%	1,275,791	5,178,129	7,227,245	6,745,562	4,640,771	$1.25	$1.17
Southwest Valley	207,969,044	29,260,660	14.1%	5,816,531	9,873,893	16,256,431	5,778,067	11,034,536	$0.95	$0.86
MARKET TOTALS	**463,232,941**	**57,671,844**	**12.4%**	**6,942,516**	**14,722,848**	**29,037,296**	**15,746,256**	**18,644,596**	**$1.14**	**$1.09**

**Rental rates reflect weighted net asking $psf/month*

KEY LEASE TRANSACTIONS Q4 2025

PROPERTY	SUBMARKET	TENANT	SF	TYPE
West 202 Logistics	Southwest Valley	Confidential E-Commerce Company	1,063,188	Direct New
Airpark Logistics Center	Southwest Valley	Schneider Electric	300,249	Direct New
Chandler Freeways Business Park	Southeast Valley	Kovach	189,520	Direct New
Prologis Park Tolleson 2	Southwest Valley	Chadwell Supply	121,491	Direct New
Northern Parkway Logistics Hub	Southwest Valley	Holley	108,391	Direct New

KEY SALE TRANSACTIONS Q4 2025

PROPERTY	SUBMARKET	SELLER/BUYER	SF	PRICE / $ PSF
Gateway Grand Phase I – Building C	Southeast Valley	Greystar Real Estate Partners / Amazon	537,429	$66.1M / $123.0
Fairway Commerce Center	Southwest Valley	Westfield Company, Inc / Invesco Real Estate	450,260	$89.8M / $199.44
KKR Portfolio	Southwest Valley	Kohlberg Kravis Roberts / Clarion Partners	419,358	$71.5M / $170.5
BKM Capital Partners Portfolio	Multiple Submarkets	BMK Capital Partners / Terracore Capital	412,875	$81.5M / $197.4
Mack Innovation Park – Site A	Northwest Valley	Mack Real Estate Group, LLC / Westcore Properties	332,544	$90.7M / $272.75

KEY PROJECTS UNDER CONSTRUCTION

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
LG Energy Solution	Southeast Valley	LG Energy Solution	1,500,000	LG Energy Solution
West 101 Logistics Center	Southwest Valley	-	1,088,747	Trammell Crow Company
NextWave Tempe	Southeast Valley	-	693,678	Overton Moore Properties

KEY CONSTRUCTION COMPLETIONS Q4 2025

PROPERTY	SUBMARKET	MAJOR TENANT	SF	OWNER/DEVELOPER
West 202 Logistics Phase II – Bldgs. G,H,F	Southwest Valley	-	824,404	CapRock Partners
Park Algodon – Bldgs. B,C,D,E	Southwest Valley	-	772,320	Creation Equity
Palm Valley Commerce Center – Bldgs. B,C	Southwest Valley	-	169,000	Schnitzer Properties

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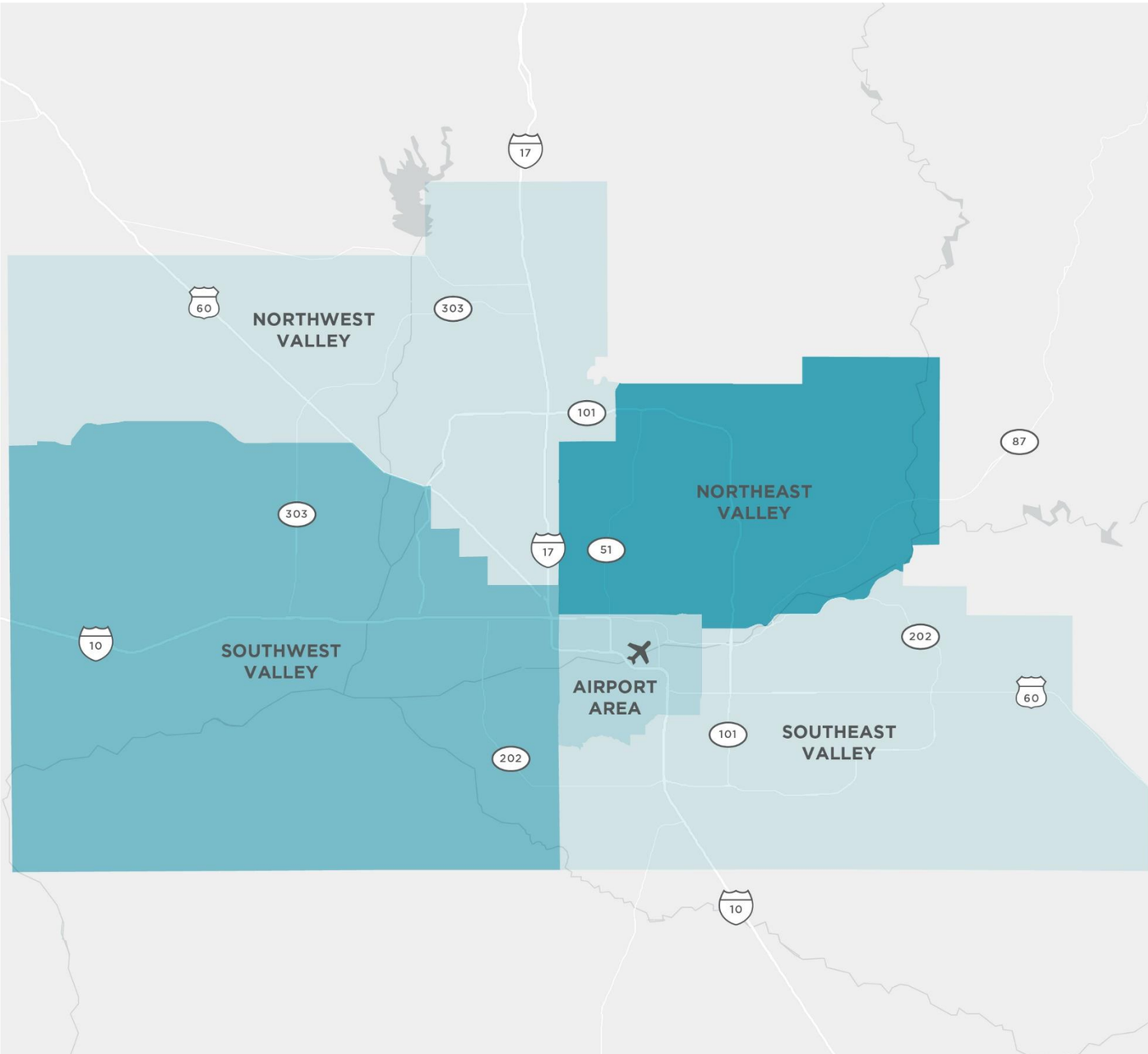
INDUSTRIAL SUBMARKETS



BELLA JACOBSON
Data Specialist
Tel: +1 602 229 5948
Isabella.jacobson@cushwake.com

JOSH CRAFT
Senior Research Analyst
Tel: +1 602 468 8596
joshua.craft@cushwake.com

JEFF COOLEDGE
Senior Research Manager
Mountain States
Tel: +1 602 224 448
jeffrey.cooledge@cushwake.com

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